



# Functions of the Central Bank

Team Teaching Financial Markets and Institutions



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## Function of Bank Indonesia

Source:  
<https://www.bi.go.id/id/default.aspx>

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# Introduction to the Central Bank in Indonesia



- Bank Indonesia (BI) is the central bank of Indonesia, established in 1953. It plays a crucial role in maintaining monetary stability and fostering sustainable economic growth. BI is an independent institution that operates free from government intervention, ensuring effective monetary policy implementation.
- As the central bank, BI has a key mandate of ensuring stability in the value of the Rupiah. This is achieved through price stability (inflation control) and exchange rate stability. These objectives contribute to long-term economic stability and growth, influencing both domestic and international economic confidence.
- Over the years, BI has evolved in response to economic challenges. The 1999 Bank Indonesia Act granted it autonomy, reinforcing its role in monetary policy formulation and implementation. Further reforms in 2004 clarified its role in financial system stability, including bank supervision, which was later transferred to the Financial Services Authority (OJK) in 2011.
- Through its policies, BI ensures the smooth functioning of Indonesia's financial system, promoting investment, economic growth, and financial inclusion. It also collaborates with global institutions to enhance Indonesia's economic resilience against external shocks.

# Functions of Bank Indonesia



Bank Indonesia (BI) serves as the central bank of Indonesia with several key functions to ensure monetary stability and economic growth. These functions are defined by law and aim to maintain a stable economic environment in the country.

- 1. Monetary Policy Implementation** BI is responsible for formulating and executing monetary policy to control inflation, stabilize the exchange rate, and support sustainable economic growth. It uses various tools such as interest rates, open market operations, and reserve requirements to influence liquidity.
- 2. Regulation and Supervision of the Payment System** BI ensures the smooth operation of Indonesia's payment system by regulating banking transactions, electronic payments, and interbank settlements. It aims to enhance financial inclusion by promoting digital payment innovations and financial technology (fintech) developments.
- 3. Management of Foreign Exchange Reserves** BI manages the country's foreign exchange reserves to maintain exchange rate stability. It intervenes in the foreign exchange market when necessary to prevent excessive volatility and to safeguard the value of the Indonesian Rupiah.
- 4. Maintaining Financial System Stability** BI plays a role in monitoring and mitigating systemic risks that could disrupt financial stability. It works closely with the Financial Services Authority (OJK) and the Indonesia Deposit Insurance Corporation (LPS) to safeguard the banking system from crises and external shocks.
- 5. Providing Economic and Financial Data** BI conducts research, publishes reports, and provides economic indicators to support informed decision-making by policymakers, businesses, and investors. Its publications include inflation reports, financial stability reviews, and economic forecasts.

# Monetary Policy in Indonesia



Monetary policy in Indonesia is managed by Bank Indonesia (BI) with the primary objective of maintaining Rupiah stability through inflation control and exchange rate stability. The policy framework aligns with economic growth goals and financial system stability.

- 1. Inflation Targeting Framework** BI adopts an inflation-targeting framework to ensure price stability. The government, in coordination with BI, sets annual inflation targets, and BI utilizes various monetary policy instruments to achieve these goals. This approach enhances transparency and public confidence in monetary policy implementation.
- 2. Interest Rate Policy** The benchmark interest rate, known as the BI 7-Day Reverse Repo Rate, serves as a key policy instrument. BI adjusts this rate to influence liquidity, borrowing costs, and economic activity. Lowering the rate encourages borrowing and investment, while raising it helps control inflationary pressures.
- 3. Exchange Rate Management** While Indonesia follows a free-floating exchange rate system, BI intervenes in the foreign exchange market when necessary to prevent excessive volatility. This intervention stabilizes the Rupiah and mitigates external shocks.
- 4. Liquidity Management** BI manages money supply through open market operations, reserve requirements, and liquidity absorption measures. These tools help balance monetary conditions to support economic stability.
- 5. Coordination with Fiscal Policy** BI works closely with the government in coordinating monetary and fiscal policies. This collaboration ensures macroeconomic stability by aligning interest rate policies with budgetary measures and public spending initiatives.

# Instruments of Monetary Policy



Bank Indonesia (BI) employs various monetary policy instruments to regulate liquidity, control inflation, and stabilize the economy. These instruments influence the availability of money in the banking system and affect interest rates, exchange rates, and economic activity.

1. **BI 7-Day Reverse Repo Rate** This is the primary monetary policy instrument used by BI. Changes in the reverse repo rate impact bank lending rates, influencing credit growth and investment decisions. A lower rate encourages borrowing, while a higher rate helps curb inflation.
2. **Open Market Operations (OMO)** BI conducts open market operations by buying or selling government securities to regulate money supply. Purchasing securities injects liquidity into the market, while selling them absorbs excess liquidity, controlling inflationary pressures.
3. **Reserve Requirements (Giro Wajib Minimum - GWM)** Banks are required to hold a minimum percentage of their deposits as reserves at BI. Adjusting this requirement influences lending capacity, with higher reserves reducing money supply and lower reserves encouraging more lending.
4. **Foreign Exchange Interventions** BI intervenes in the currency market to stabilize the Rupiah. It buys or sells foreign currency reserves to prevent excessive exchange rate fluctuations and protect economic stability from external shocks.
5. **Macroprudential Policies** BI implements macroprudential regulations to ensure financial system stability. Policies such as the Loan-to-Value (LTV) ratio for mortgages and counter-cyclical capital buffers help prevent excessive credit growth and reduce systemic risks.

# The Role of Bank Indonesia in Economic Stability



Bank Indonesia (BI) plays a critical role in ensuring economic stability through its monetary policies and financial system regulations. Its responsibilities include maintaining inflation control, exchange rate stability, and overall financial system soundness.

- 1. Inflation Control and Price Stability** BI ensures that inflation remains within the target range set by the government. By adjusting the BI 7-Day Reverse Repo Rate, it influences borrowing costs and consumption levels, preventing excessive inflation or deflation that could harm the economy.
- 2. Exchange Rate Stability** Stability in the Rupiah exchange rate is crucial for trade and investment. BI intervenes in the foreign exchange market to mitigate extreme volatility, ensuring that businesses and investors operate in a predictable economic environment.
- 3. Financial System Resilience** BI works with other financial regulators such as the Financial Services Authority (OJK) and the Indonesia Deposit Insurance Corporation (LPS) to ensure banking sector resilience. It conducts stress tests, provides liquidity assistance when necessary, and enforces risk management policies.
- 4. Supporting Economic Growth** Through accommodative monetary policies, BI stimulates economic activities by ensuring that credit is available for businesses and households. It also supports government initiatives in infrastructure development, financial inclusion, and digital transformation.
- 5. Crisis Management and Policy Coordination** During economic crises, BI plays a crucial role in stabilizing the financial sector. It collaborates with the government and global financial institutions to implement emergency measures, including liquidity injections, regulatory relaxations, and international cooperation for economic recovery.



# Challenges in Implementing Monetary Policy



Despite the structured framework and instruments used by Bank Indonesia (BI), various challenges arise in implementing effective monetary policy. These challenges stem from both domestic and global economic factors.

- 1. Inflation Volatility** Inflation in Indonesia can be influenced by external factors such as global commodity prices, food supply disruptions, and energy price fluctuations. BI must continuously adjust its policies to maintain price stability without slowing economic growth.
- 2. Exchange Rate Fluctuations** The Rupiah is susceptible to external shocks, including global financial market movements, capital outflows, and trade imbalances. BI's interventions in the currency market must balance stability without depleting foreign exchange reserves.
- 3. Financial Sector Vulnerabilities** Indonesia's banking sector faces risks from non-performing loans (NPLs), credit bubbles, and financial technology disruptions. BI collaborates with financial regulators to mitigate systemic risks and ensure sector resilience.
- 4. Monetary Policy Transmission Lag** The effects of monetary policy adjustments take time to be fully transmitted to the real economy. Factors such as banking system responsiveness and consumer behavior influence how quickly BI's policy changes impact inflation and growth.
- 5. External Economic Pressures** Global economic slowdowns, trade wars, and geopolitical tensions can negatively affect Indonesia's economic stability. BI must continuously assess international developments and adjust policies to safeguard the national economy.

# Conclusion & Summary



Bank Indonesia (BI) plays a fundamental role in maintaining economic stability in Indonesia through effective monetary policy. By managing inflation, stabilizing the exchange rate, and ensuring financial system resilience, BI contributes to sustainable economic growth.

Key takeaways from this presentation:

- BI's primary mandate is to maintain Rupiah stability through inflation control and monetary policy.
- The central bank uses various policy instruments, including interest rates, open market operations, and reserve requirements.
- Exchange rate management is critical in shielding the economy from external shocks and financial instability.
- BI collaborates with other financial institutions to maintain a resilient banking sector and promote economic growth.
- Despite well-structured policies, challenges such as inflation volatility, exchange rate fluctuations, and global economic pressures necessitate adaptive and proactive policy measures.

As Indonesia continues to integrate into the global economy, Bank Indonesia's role will remain crucial in ensuring financial stability, economic resilience, and inclusive growth.

The background of the slide features a grayscale photograph of modern architectural structures. On the left, a portion of a white building with rectangular windows is visible. On the right, a taller building with a curved facade and large glass panels is shown, with some palm trees in the foreground. A solid dark blue vertical band runs down the center of the image, serving as a backdrop for the text.

# 02

## **Function of the Financial Services Authority**

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# Introduction to OJK



Otoritas Jasa Keuangan (OJK) is Indonesia's financial services authority, established under Law No. 21 of 2011. Its primary function is to regulate and supervise financial institutions, ensuring the stability, transparency, and integrity of the financial system.

OJK was created to replace Bank Indonesia's role in banking supervision and Bapepam-LK's function in regulating the capital market and non-bank financial industries. This restructuring was aimed at creating a more integrated and independent regulatory body.

The main objectives of OJK include:

- Protecting consumer interests in financial services.
- Strengthening financial system resilience.
- Ensuring that the financial sector contributes to sustainable economic growth.
- As an independent body, OJK operates without direct government interference, but it collaborates with other institutions such as Bank Indonesia and the Ministry of Finance to ensure economic stability.

# Functions and Roles of OJK



Otoritas Jasa Keuangan (OJK) plays a crucial role in maintaining the stability and integrity of Indonesia's financial sector. Its primary functions are regulating, supervising, and enforcing compliance in the financial industry.

## **Key Functions of OJK:**

### **1. Regulation of Financial Institutions**

- Establishing policies and rules for banking, capital markets, insurance, and other financial institutions.
- Ensuring that financial entities operate in compliance with national laws and international best practices.

### **2. Supervision of Financial Services**

- Monitoring the health and performance of banks, insurance companies, investment firms, and pension funds.
- Conducting audits, inspections, and risk assessments to prevent financial crises.

### **3. Consumer Protection and Education**

- Promoting financial literacy programs to educate the public on responsible financial decision-making.
- Addressing consumer complaints and ensuring transparency in financial products and services.

### **4. Crisis Prevention and Financial Stability**

- Working with Bank Indonesia and the Ministry of Finance to prevent financial system instability.
- Implementing measures to mitigate risks such as credit defaults, banking fraud, and systemic failures.

By fulfilling these functions, OJK enhances the credibility of Indonesia's financial system and supports sustainable economic development.

# Regulatory and Supervisory Framework



OJK operates under a structured regulatory and supervisory framework designed to ensure stability, transparency, and consumer protection in the financial sector. This framework consists of legal foundations, supervision models, and enforcement mechanisms.

## Key Aspects of OJK's Framework:

### 1. Legal Foundations

- OJK was established under Law No. 21 of 2011.
- Regulations cover banking, capital markets, insurance, pension funds, and non-bank financial institutions.

### 2. Supervision Models

- Microprudential Supervision: Ensuring individual financial institutions operate soundly.
- Macroprudential Supervision: Identifying systemic risks to maintain overall financial stability.

### 3. Risk-Based Approach

- OJK applies a risk-based supervision method, focusing on financial institutions with higher risks of failure.
- It conducts stress testing and risk assessments to detect early warning signs of financial distress.

### 4. Enforcement and Compliance

- OJK has the authority to impose sanctions on financial institutions that violate regulations.
- It collaborates with law enforcement agencies to combat financial crimes such as fraud and money laundering.

By implementing this regulatory and supervisory framework, OJK ensures a well-functioning and resilient financial sector that supports economic growth.

# Challenges and Future of OJK



Despite its significant role in regulating and supervising Indonesia's financial sector, OJK faces various challenges. These challenges require continuous adaptation and innovation to ensure a robust financial system.

## **Key Challenges:**

### **1. Financial Technology (Fintech) Growth**

- The rapid development of digital banking, peer-to-peer (P2P) lending, and cryptocurrencies presents regulatory challenges.
- OJK must create a balanced approach to encourage innovation while preventing financial fraud and cyber threats.

### **2. Economic Uncertainty and Global Risks**

- External factors such as global recessions, trade wars, and inflation fluctuations impact financial stability.
- OJK must enhance its macroprudential measures to withstand global economic shocks.

### **3. Consumer Protection and Financial Inclusion**

- Many Indonesians still lack access to formal financial services.
- OJK continues to promote financial literacy and inclusion to bridge the gap between urban and rural areas.

## **Future Outlook of OJK:**

- Strengthening digital financial regulations to accommodate technological advancements.
- Enhancing collaboration with international financial institutions to improve regulatory standards.
- Implementing more advanced risk assessment models to detect and mitigate financial crises.

By addressing these challenges, OJK can ensure a sustainable, inclusive, and resilient financial system for Indonesia's economic growth.



**Thank you**